

How is it Useful for Startups?

Offering ESOPs can attract and retain talented people, especially if the company is not able to offer competitive salaries. Since they have limited resources, so they struggle to match the cash component of the salaries of other companies.



Founder

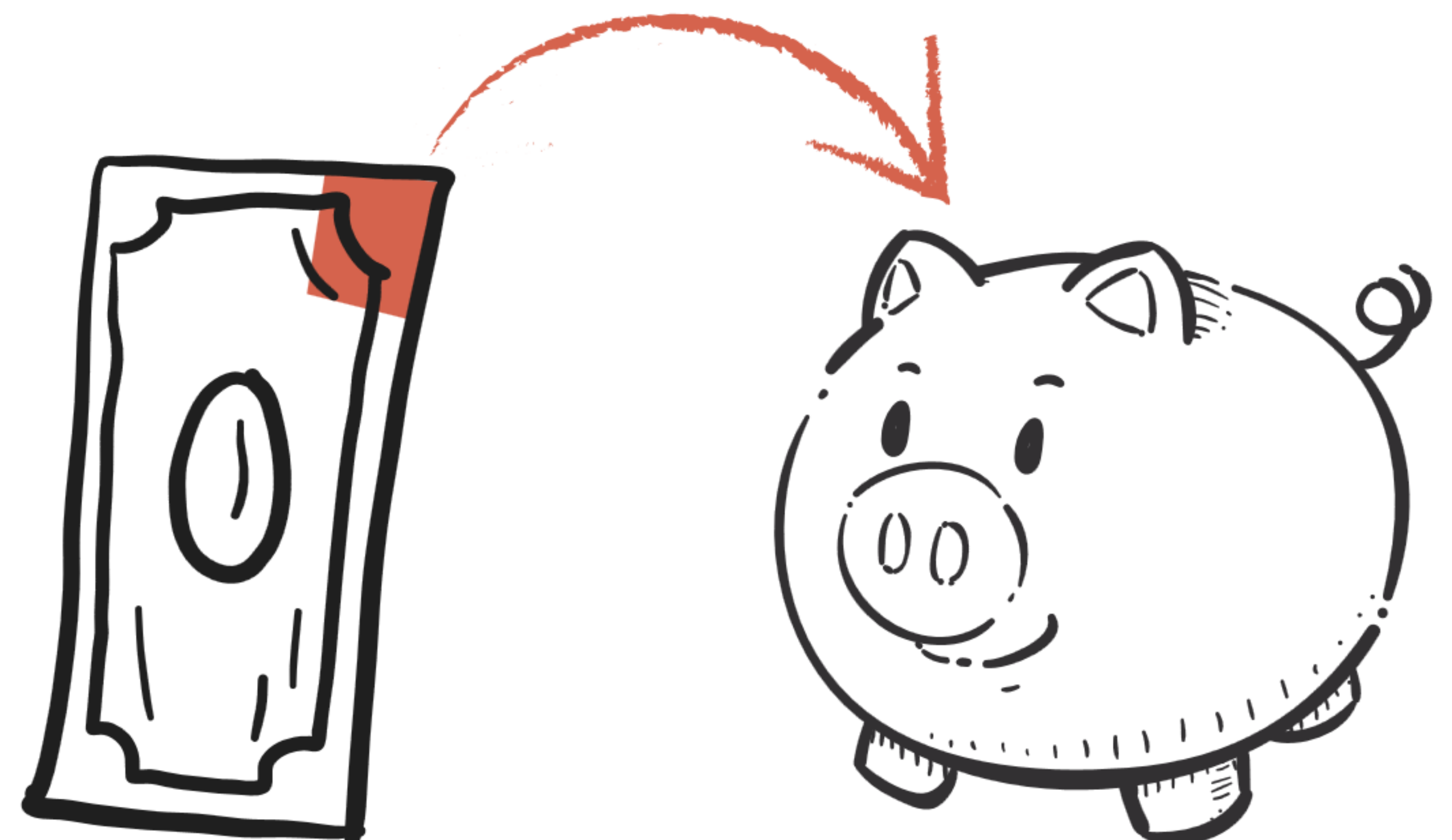
Here, ESOPs play a crucial role by allowing startups to compensate employees with ownership rights, aligning their incentives with the company's success.

Employees may choose to accept lower salaries in exchange for potential financial rewards if the company grows and thrives.

Having an ESOP plan can be beneficial for both employees and employers for several reasons:

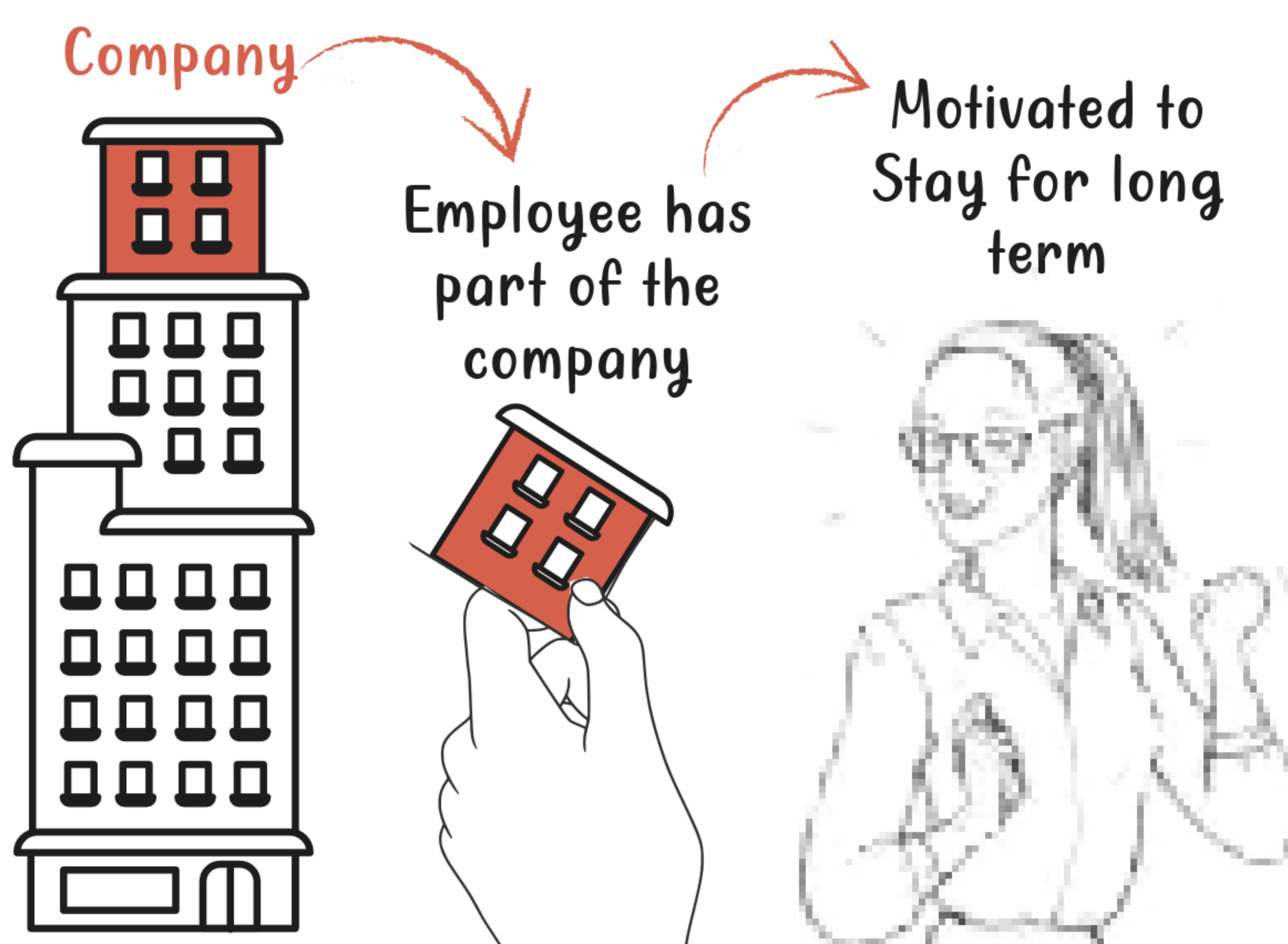
A. Tax Benefits

Companies can deduct their contribution from their taxes, reducing their overall tax burden. Employees also do not pay taxes on the ESOPs until they are distributed, depending on the rules and regulations. When employees sell their ESOP shares, any capital gains realised may be eligible for favourable tax treatment, resulting in lower tax liabilities.



Taxable Income

ESOP Contribution
Lower Tax Liabilities



B. Attract and Retain Top Talent

ESOPs help attract and retain top talent. When employees have a stake in the company, they become more invested in its success and are motivated to stay long-term. This, in turn, reduces turnover rates and fosters a stable workforce.